



United States
Attorney's Office
Western District of Tennessee



Memphis Woman Sentenced in Healthcare Fraud Scheme and Schemes to Defraud COVID-19 Relief Program

Wednesday, April 23, 2025

For Immediate Release

U.S. Attorney's Office, Western District of Tennessee

Memphis, TN – A federal judge has sentenced **Nakita Cannady, 49**, to 14 months in federal prison to be followed by two years of supervised release for healthcare fraud and making false statements in connection with loan applications for the Covid-19 Relief Program. The final sentencing hearing was concluded on April 4, 2025, with the entry of an order by Senior United States District Judge John T. Fowlkes, Jr. directing the defendant to pay more than \$500,000.00 dollars in restitution to the victims. Joseph C. Murphy, Jr., Interim United States Attorney for the Western District of Tennessee, announced the sentence today.

According to the original federal indictment in the healthcare fraud case, Cannady owned and operated What About Us In-Home Healthcare, a home healthcare services business that purported to provide custodial healthcare services 24-hours a day, 7 days a week to mostly elderly patients. From May 29, 2017 through December 23, 2019, Cannady fraudulently billed Cigna Insurance for 24 hours a day of home healthcare when she knew the patients had only received 8 or 12 hours a day of home healthcare. Cannady was ordered to make restitution to Cigna Insurance in the amount of \$193,508.10.

According to the second federal indictment, from June 17, 2020 through April 15, 2021, Cannady submitted six fraudulent Paycheck Protection Program (PPP) and Economic Injury Disaster Loan (EIDL) applications for four purported businesses she controlled, specifically: What About Us Childcare, What About Us Foundation, What About Us Adult Daycare, and What About Us In-Home Healthcare. Cannady's loan applications contained false information concerning the dates of operation, gross revenues, costs of goods sold, number of employees, and amount of payroll related to the businesses. Cannady was ordered to make restitution to the Small Business Administration in the amount of \$346,882.13.

"Those who exploit health care programs for personal gain will be held accountable to the fullest extent of the law," said Special Agent in Charge Joseph E. Carrico of the Federal Bureau of Investigation (FBI) Nashville Field Office. "Health care fraud is a priority for the FBI, and we will continue to work with our partners to investigate those who prioritize greed over the well-being of others."

Interim United States Attorney Joseph C. Murphy, Jr. and Assistant United States Attorney Raney Irwin prosecuted this case on behalf of the United States. Assistant United States Attorney Christopher Cotten and former Assistant United States Attorneys Courtney Lewis and Murrell Foster also assisted in the prosecution of this case. The FBI Nashville Field Office – Memphis Resident Agency and the Tennessee Bureau of Investigation investigated this case.

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For more information, please contact the media relations team at USATNW.Media@usdoj.gov. Follow the U.S. Attorney's Office [on Facebook](#) or [on X](#) at @WDTNNews for office news and updates.

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